



Within the Company, positive tension is what keeps us going. Our recent success has been a learning experience for us. It created a unique set of values and skills, and these are not going to disappear. Moreover, the core skills that now exist in Nissan are what will drive us forward. And we will not lose these skills because we now attract and retain the best employees. The organization is more efficient, and we can push our teams towards higher targets because their confidence level is higher.

We displayed that confidence when we introduced the Murano in the U.S. Crossover vehicles were a new concept for the U.S. car buyer, and that carried a risk. The product planners boldly pushed ahead, though, and after the Murano became a hit in that market, it proved equally popular in Japan and Europe. Now, with new product launches rising from 44 during NISSAN 180 to 70 in NISSAN Value-Up, and with global expansion in markets outside our traditional regions, you can see how the product planners benefited from the Murano's success. From the conceptual stage onward, they now have the confidence to make strong projections about how many customers a model will have around the world. Their mindset is, we've succeeded before with Murano and others, so why not try this again on a global basis? They can identify and target certain customers but then propose skipping a particular market to avoid compromising the concept. We don't want to make bland cars, where we design one variation for Europe, another for Japan, and something else for the US. There is no flavor, nothing special, about a chameleon car that tries to please everyone. The Murano was the kind of strong, innovative concept that prospered because it was not a compromise.

These are the things that we as planners can do. For instance, if we understand that in one market diesel engines are very important, the engineers can create a package that takes that into account. We are not compromising, but creating the proper combination to address specific needs from the start. With a car like the Z, for instance, we will not compromise. We will make a clear choice, even if it means losing some volume in other markets. Cars like the Z are not volume seekers; they are brand builders.

The global expansion of the Infiniti brand is another example of building a brand. Developing and building Infiniti is about making a specific brand decision. You can't advertise a luxury brand like this in the same way you do a standard non-luxury brand. The typical Infiniti customer might never buy a Nissan, for example, because it's not exclusive enough. So in the Planning Group, we have a lot of work to do upstream, going deep into brand understanding and then deploying this understanding on specific products, features that span across multiple car lines, perceived product quality, materials and so on.

Brand is about consistency; keeping on track, building step-by-step to sharpen the awareness that we are professionals with finely tuned cars meant for very specific customers. For example, in the recent launch of the Infiniti brand in Korea, everything in support of the brand had to be outstanding from the beginning—the sales network, the service, the people. We are going to do great things with Infiniti as we take the brand global over the next five years.

Like the global expansion of Infiniti, our Light Commercial Vehicles (LCV) business presents another breakthrough opportunity during the NISSAN Value-Up period. In the past, Nissan, like other OEM producers, often placed the LCV business behind other product lines. Some view these vehicles as unprofitable, but that is only true if they fail to address customer needs. We are now committed to bringing LCVs in-line with Nissan's other product areas. We are looking to introduce a new generation of LCVs, with innovations and features that will satisfy customer needs that have not yet been met. From a design standpoint, we also want to demonstrate that LCVs are more than just utilitarian. We have several exciting products in the LCV pipeline that will bring something new and fresh to this market.

Here in the Planning Group, we understand that we must protect the Nissan way of being creative. But while fostering that creativity, we will continue to standardize and refine our processes, building on what we have learned and applying these processes during this period of sustainable growth and profit. That balance between creativity and rigorous process management will keep Nissan on the path of global profitable growth."